

D364

Financial Management I

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

Items

1.

A retailer has a net profit margin of 4%, total asset turnover of 2.5 and an equity multiplier of 2.0. It opened 30 stores this year, and its CEO sits on two outside boards. What is its ROE?

- A. 4%
- B. 10%
- C. 8.5%
- D. 20%

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2. [TRANSFER — reversed stem / different variable]

A firm's ROE is 18% and its ROA is 6%. What is its equity multiplier?

- A. 6
- B. 12
- C. 3.0
- D. 0.33

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3.

A distributor holds inventory 60 days on average, collects receivables in 45 days and pays suppliers in 35 days. It has 14 warehouses and a new ERP system. What is its cash conversion cycle?

- A. 140 days
- B. 70 days
- C. 105 days
- D. 25 days

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4. [TRANSFER — reversed stem / different variable]

A firm has 50 days of inventory and 40 days of receivables. It wants a cash conversion cycle of 30 days. How long must its payables period be?

- A.** 30 days
- B.** 60 days
- C.** 90 days
- D.** 120 days

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5.

A firm reports current assets of \$900,000, including \$300,000 of inventory, and current liabilities of \$600,000. It also owns a \$2 million building. What are its net working capital and quick ratio?

- A.** \$300,000 and 1.0
- B.** \$2,300,000 and 1.0
- C.** \$1,500,000 and 1.0
- D.** \$300,000 and 1.5

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6.

A company collects 30% of sales in the month of sale, 60% the next month and 10% the month after. Sales were \$100,000 in May, \$120,000 in June and \$150,000 in July. The company plans a product launch in September. How much cash does it collect in July?

- A.** \$150,000
- B.** \$127,000
- C.** \$136,000
- D.** \$117,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7.

A supplier offers terms of 2/10, net 30. The buyer, a restaurant group with 25 locations and a strong bank relationship, usually pays on day 30. Using a 365-day year, what is the approximate nominal annual cost of skipping the discount?

- A. 36.5%
- B. 2%
- C. About 37.2%
- D. About 24.8%

Target word _____	The one fact that decides _____	Answer _____	☐ sure ☐ unsure ☐ guess
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8. [TRANSFER — reversed stem / different variable]

A firm can borrow from its bank at 9% a year. A supplier offers 1/10, net 40. Should the firm borrow to take the discount?

- A. No; a 1% discount is smaller than a 9% loan rate.
- B. No; skipping costs about 12.3%, which is cheaper than 9%.
- C. Yes; skipping the discount costs about 12.3% a year, more than the 9% loan.
- D. Yes, because discounts should always be taken at any borrowing cost.

Target word _____	The one fact that decides _____	Answer _____	☐ sure ☐ unsure ☐ guess
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9.

A firm had sales of \$2,000,000 and expects 20% growth. Assets tied to sales equal 50% of sales, and spontaneous liabilities equal 10% of sales. Next year's net profit margin is 5% and it pays out 40% of earnings. The firm's founder retired this year. What additional funds are needed?

- A. \$160,000
- B. \$100,000
- C. \$112,000
- D. \$88,000

Target word _____	The one fact that decides _____	Answer _____	☐ sure ☐ unsure ☐ guess
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10.

A seasonal toy maker funds all of its permanent current assets and part of its seasonal peak with long-term debt, and holds marketable securities in the off-season. The company is family-owned and its plant is in Vermont. Which policy is this, and what is its main trade-off?

- A.** Conservative: lower refinancing risk, but higher financing cost.
- B.** Conservative: higher refinancing risk, but lower cost.
- C.** Aggressive: higher risk, higher expected return.
- D.** Maturity matching, which carries no trade-off.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11. [TRANSFER — reversed stem / different variable]

A firm funds part of its permanent current assets with short-term loans that must be rolled over every quarter. Which statement is true?

- A.** It is aggressive: cheaper on average but more refinancing and rate risk.
- B.** It is maturity matching.
- C.** It is aggressive, which removes rate risk because loans are short.
- D.** It is conservative, the lowest-risk approach.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12.

A firm receives \$400,000 a day in customer checks. A lockbox would cut collection time by 2 days. Its short-term investment rate is 5%, and the bank charges \$25,000 a year for the service. The CFO also negotiated a new credit line. Should it adopt the lockbox?

- A.** No; it earns only \$20,000, less than the fee.
- B.** Yes; it gains \$800,000 a year.
- C.** No; the new credit line removes any need to speed collections.
- D.** Yes; it earns about \$40,000 a year against a \$25,000 fee.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer D Concept 1

A retailer has a net profit margin of 4%, total asset turnover of 2.5 and an equity multiplier of 2.0. ~~It opened 30 stores this year, and its CEO sits on two outside boards.~~ What is its ROE?

Target word: ROE **Decides:** Multiply all three DuPont parts.

A	Wrong stem number	The profit margin alone.
B	Dropped element	That is ROA; the equity multiplier is left out.
C	Inverted operation	Adds the parts instead of multiplying.
D	Correct	$4\% \times 2.5 \times 2.0 = 20\%$.

2. Answer C Concept 1 • transfer

A firm's ROE is 18% and its ROA is 6%. What is its equity multiplier?

Target word: solve for leverage **Decides:** Equity multiplier = $ROE \div ROA$.

A	Wrong stem number	The ROA figure.
B	Adjacent category	The gap between ROE and ROA, not a multiplier.
C	Correct	$18\% \div 6\% = 3.0$.
D	Inverted operation	$ROA \div ROE$.

3. Answer B Concept 2

A distributor holds inventory 60 days on average, collects receivables in 45 days and pays suppliers in 35 days. ~~It has 14 warehouses and a new ERP system.~~ What is its cash conversion cycle?

Target word: CCC in days **Decides:** $60 + 45 - 35$.

A	Inverted operation	Adds payables days instead of subtracting.
B	Correct	$60 + 45 - 35 = 70$.
C	Adjacent category	The operating cycle, before payables.
D	Dropped element	Leaves out receivables days.

4. Answer B Concept 2 • transfer

A firm has 50 days of inventory and 40 days of receivables. It wants a cash conversion cycle of 30 days. How long must its payables period be?

Target word: solve for DPO **Decides:** $DPO = DIO + DSO - CCC$.

A	Wrong stem number	The target CCC.
B	Correct	$50 + 40 - 30 = 60$.
C	Dropped element	The operating cycle; ignores the 30-day target.
D	Inverted operation	Adds the target CCC instead of subtracting.

5. Answer A Concept 3

A firm reports current assets of \$900,000, including \$300,000 of inventory, and current liabilities of \$600,000. ~~It also owns a \$2 million building.~~ What are its net working capital and quick ratio?

Target word: NWC and quick ratio **Decides:** Quick assets = \$900,000 – \$300,000.

A	Correct	$\$900,000 - \$600,000; \$600,000 \div \$600,000.$
B	Camouflage	Adds the building, a long-term asset.
C	Inverted operation	Adds liabilities to assets.
D	Confusion set	1.5 is the current ratio.

6. Answer B Concept 4

A company collects 30% of sales in the month of sale, 60% the next month and 10% the month after. Sales were \$100,000 in May, \$120,000 in June and \$150,000 in July. ~~The company plans a product launch in September.~~ How much cash does it collect in July?

Target word: July collections **Decides:** 30% of July + 60% of June + 10% of May.

A	Wrong stem number	July sales, not July cash.
B	Correct	$\$45,000 + \$72,000 + \$10,000.$
C	Inverted operation	Swaps the 30% and 60% rates.
D	Dropped element	Leaves out the 10% from May.

7. Answer C Concept 5

A supplier offers terms of 2/10, net 30. The buyer, ~~a restaurant group with 25 locations and a strong bank relationship,~~ usually pays on day 30. Using a 365-day year, what is the approximate nominal annual cost of skipping the discount?

Target word: annual cost of trade credit **Decides:** 2/98 for 20 extra days.

A	Adjacent category	Divides by 100 instead of the 98 actually borrowed.
B	Wrong stem number	The discount, not an annual rate.
C	Correct	$(2 \div 98) \times (365 \div 20) = 37.24\%.$
D	Dropped element	Uses 30 days and drops the 10 free days.

8. Answer C Concept 5 • transfer

A firm can borrow from its bank at 9% a year. A supplier offers 1/10, net 40. Should the firm borrow to take the discount?

Target word: compare trade credit to a bank loan **Decides:** Skipping costs $(1 \div 99) \times (365 \div 30) \approx 12.3\%.$

A	Dropped element	Compares without annualizing the discount.
B	Inverted operation	Reverses the comparison.
C	Correct	Borrow at the cheaper rate and take the discount.
D	Absolute language	Depends on the loan rate.

9. Answer D Concept 6

A firm had sales of \$2,000,000 and expects 20% growth. Assets tied to sales equal 50% of sales, and spontaneous liabilities equal 10% of sales. Next year's net profit margin is 5% and it pays out 40% of earnings. ~~The firm's founder retired this year.~~ What additional funds are needed?

Target word: AFN **Decides:** $\Delta S = \$400,000$; retained = $\$2.4M \times 5\% \times 60\% = \$72,000$.

A	Dropped element	Leaves out retained earnings.
B	Wrong stem number	Uses this year's \$2.0M sales for retained earnings.
C	Inverted operation	Uses the 40% payout as retention.
D	Correct	$\$200,000 - \$40,000 - \$72,000$.

10. Answer A Concept 7

A seasonal toy maker funds all of its permanent current assets and part of its seasonal peak with long-term debt, and holds marketable securities in the off-season. ~~The company is family owned and its plant is in Vermont.~~ Which policy is this, and what is its main trade-off?

Target word: policy and trade-off **Decides:** Long-term funds cover more than permanent needs.

A	Correct	Long-term money is safer and usually costlier.
B	Confusion set	Attaches the aggressive trade-off to the conservative name.
C	Inverted operation	Aggressive leans on short-term funds.
D	Absolute language	Every policy trades risk and cost.

11. Answer A Concept 7 • transfer

A firm funds part of its permanent current assets with short-term loans that must be rolled over every quarter. Which statement is true?

Target word: name the policy from the funding **Decides:** Short-term money funds permanent needs.

A	Correct	Rolling short debt exposes the firm to rate and renewal risk.
B	Adjacent category	Matching funds permanent assets long-term.
C	Confusion set	Short loans raise rate risk.
D	Inverted operation	Conservative uses long-term funds.

12. Answer D Concept 8

A firm receives \$400,000 a day in customer checks. A lockbox would cut collection time by 2 days. Its short-term investment rate is 5%, and the bank charges \$25,000 a year for the service. ~~The CFO also negotiated a new credit line.~~ Should it adopt the lockbox?

Target word: adopt or not **Decides:** Freed cash $\$800,000 \times 5\% = \$40,000$ a year vs. \$25,000.

A	Dropped element	Uses one day instead of two.
B	Adjacent category	\$800,000 is a one-time cash release, not yearly income.
C	Camouflage	The credit line does not change the math.
D	Correct	Net gain about \$15,000 a year.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	8	
Wrong stem number	A figure copied from the prompt that is not the answer.	6	
Adjacent category	The right idea in the wrong bucket.	5	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	10	
Absolute language	Always, never, guarantee — where judgment applies.	2	
Confusion set	Every option is real; the test is exact role-matching.	3	
Camouflage	Answers a stem fact that was never the question.	2	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	DuPont equation	$\text{ROE} = \text{net profit margin} \times \text{total asset turnover} \times \text{equity multiplier}$; $\text{ROA} \times \text{equity multiplier} = \text{ROE}$.	Adding the parts, or stopping at ROA.	Margin, turnover and leverage given separately.
2	Cash conversion cycle	$\text{CCC} = \text{days inventory} + \text{days sales outstanding} - \text{days payables outstanding}$.	Adding payables days, or reporting the operating cycle.	Three day counts for inventory, receivables and payables.
3	Net working capital and liquidity ratios	$\text{NWC} = \text{current assets} - \text{current liabilities}$; quick ratio excludes inventory from current assets.	Reporting the current ratio as the quick ratio, or counting long-term assets.	Current assets with inventory broken out.
4	Cash budget collections	Cash collected in a month = the collection percentage of each month's sales that falls due that month.	Treating a month's sales as its cash.	A collection pattern across months.
5	Cost of trade credit	$\text{Cost of skipping a discount} \approx \text{discount} \div (100 - \text{discount}) \times 365 \div (\text{payment day} - \text{discount day})$.	Calling the cost just the discount percent, or using the full net period.	Terms like 2/10, net 30.
6	Additional funds needed (percent-of-sales forecast)	$\text{AFN} = \text{required asset increase} - \text{spontaneous liability increase} - \text{addition to retained earnings}$.	Leaving out retained earnings or using the payout ratio as retention.	Sales growth, asset and liability percentages, margin and payout.
7	Working capital financing policy	Conservative = long-term funds cover permanent and some seasonal needs (safer, costlier); aggressive = short-term funds cover some permanent needs (cheaper, riskier).	Mixing up which policy carries refinancing risk.	What funds the permanent current assets.
8	Value of speeding collections (float)	$\text{Annual benefit} = \text{daily collections} \times \text{days saved} \times \text{opportunity rate}$; compare to the annual cost.	Treating the freed cash as yearly income, or using one day.	Daily receipts, days cut, an interest rate and a service fee.

Course scope (public description): This course covers basic financial management principles primarily targeted to the operations part of a business. The learner gains an understanding about the basic finance organization in an enterprise in support of the company's primary goal to increase corporate value for shareholders in an ethical way. Tools a finance professional might use in managing the cash and current assets are discussed along with cash budgeting and financial strategic planning. The Dupont equation is reviewed as the basis for analyzing and improving the performance of the enterprise to improve value. The learner will acquire knowledge about how forecasting models and financial instruments are used to optimize the working capital investment portfolio. Prerequisite for Financial Management I is Corporate Finance.